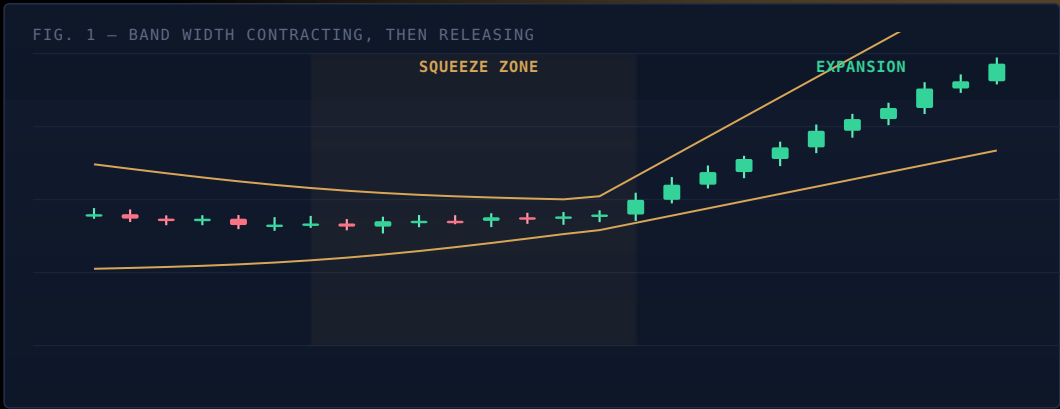


◆STRATEGY GUIDE 11 / 20 · VOLATILITY PATTERN

The Bollinger Squeeze

When a market's volatility goes quiet, it rarely stays that way. Here's how to read the pinch — and trade whichever way it lets go.



PATTERN TYPE	DIRECTIONAL BIAS	TYPICAL READ TIMEWORKS BEST ON
Volatility / breakout	Neutral until break	9 min
		Range-bound → trending shift

01 What It Is

Bollinger Bands plot a moving average (usually 20 periods) with two bands set a fixed number of standard deviations above and below it (usually 2). Because standard deviation is a direct measure of how much price has been moving around, the distance between the bands is itself a live readout of volatility — wide bands mean price has been swinging hard, narrow bands mean it has settled down.

A "squeeze" is simply the moment that gap narrows to its tightest point relative to its own recent history. It isn't a shape in the candles themselves the way a flag or a double top is — it's a statement about the **bands**, and by extension about how compressed the market's recent trading range has become. Squeezes show up at the end of consolidations, after a trend has burned itself out and buyers and sellers have reached a temporary truce, and inside triangles or rectangles where the range is visibly shrinking bar by bar.

Key distinction: a squeeze identifies *that* a big move is becoming more likely, not *which direction* it will go. Traders who forget this half of the pattern are the ones who get caught leaning the wrong way at the worst possible moment.

02 Why It Works

Volatility isn't random from one day to the next — it clusters. Quiet periods tend to follow quiet periods, and violent periods tend to follow violent ones, then eventually the regime flips. This "volatility clustering" is one of the most consistently observed properties of price series across almost every liquid market and timeframe, and it's the entire statistical basis for the squeeze.

Mechanically, a squeeze usually reflects a market where the two sides — buyers and sellers — have reached a rough equilibrium: neither is aggressive enough to push price meaningfully away from the mean, so each session's range keeps shrinking. But equilibria like this are inherently unstable. Order flow keeps arriving, positions keep building on both sides of the range, and the longer the standoff continues, the more pressure accumulates for one side to eventually overwhelm the other. When it does, the same narrow range that made the breakout hard to predict also makes it violent — stops from the losing side cluster just outside the range, and triggering them adds fuel in the breakout's direction.

What the squeeze does *not* tell you is which side wins that standoff. Studies of the pattern and most practitioners' own experience agree: the resolution direction is close to a coin flip unless you bring in outside information — a higher-timeframe trend, a nearby support/resistance level, or a fundamental catalyst on the calendar. The squeeze is a volatility signal, not a directional one, and trading it as if it were the latter is the single most common way to misuse this pattern.

03 Reading The Squeeze Correctly

Because a squeeze is a relative measure, comparing today's band width to yesterday's is not enough — you need context from several weeks or months back to know whether "narrow" is actually narrow.

BAND WIDTH PERCENTILE

Calculate today's band width as a percentile of its own reading over the past ~120 periods. A squeeze worth watching is typically in the bottom 10–20% of that range — not merely "a bit tighter than last week."

DURATION MATTERS

A squeeze that has persisted for many sessions has more pent-up pressure behind it than one that just started narrowing — but it can also persist far longer than feels reasonable before finally resolving. Patience is part of the setup, not a failure of it.

Two things tend to happen in the exact moment a squeeze resolves, and recognizing both helps separate a real break from noise:

- **A decisive close outside the bands.** A single wick poking through a band is common and usually meaningless inside a squeeze; a full-bodied close beyond the band is a materially stronger signal.
- **A volume pickup.** Because squeezes reflect quiet participation, the resolution is far more credible when it arrives alongside volume that's visibly above the recent average — confirmation that new participants, not just noise, are driving the move.

04 How To Trade It

STAGE	WHAT TO LOOK FOR	WHY IT MATTERS
Identify	Band width in the bottom decile of its recent range	Confirms the squeeze is genuinely tight, not just "tighter than Tuesday"
Wait	A decisive close outside either band	Filters out the wick-pokes that don't represent a real resolution
Lean	Nearby support/resistance or higher-timeframe trend	Squeezes give no directional edge on their own — borrow one from context
Confirm	Volume above its recent average on the break	Separates genuine participation from a low-volume false start
Size	Smaller than your standard position, at least initially	Direction is genuinely uncertain until the break actually happens

On stops: a common approach is to place the initial stop back inside the squeeze range — if price re-enters the range it just broke from, the "breakout" has effectively failed and the squeeze may simply still be resolving in the other direction.

On targets: because band width was compressed, many traders use the width of the squeeze itself, or the width of the broader range that preceded it, as a rough first projection — treating it as a minimum expected move rather than a hard ceiling.

05 Worked Example (Fictional)

The figures below are entirely made up, for illustration only — not a real security or historical trade.

Fictional stock "QRVX" trades in an increasingly tight range for eleven sessions, with its 20-period Bollinger Band width falling to its narrowest reading in ten months. On the twelfth session, price closes at \$61.40, decisively above the upper band, on volume 2.1x its 20-day average.

Because the stock had been trending gently higher over the prior two months before the squeeze began, a trader leans bullish rather than fading the move. Entry is taken on the confirmed close at \$61.40, with a stop at \$58.90 — just back inside the pre-breakout range — for risk of \$2.50 per share. Using the width of the eleven-session range (\$5.10) projected from the breakout gives a first target near \$66.50, for a reward-to-risk just above 2:1.

06 Common Mistakes

- **Assuming trend continuation.** A squeeze forming after an uptrend does not obligate the break to go up — plenty resolve against the prior trend.
- **Entering during the squeeze.** Buying or selling before the actual breakout is a bet on direction with none of the volatility-based edge the pattern actually offers.
- **Giving up too early.** Squeezes can persist for many more sessions than seems reasonable — exiting a watchlist item after a few quiet days often means missing the eventual move entirely.
- **Ignoring volume on the break.** A break on unremarkable volume is meaningfully weaker evidence than one arriving with a visible pickup in participation.

07 Risk Management Notes

Because the squeeze carries no directional edge by itself, position sizing is where most of the risk control has to happen. Starting smaller than your standard size on the initial breakout, then adding once the move confirms with a retest or a follow-through session, keeps the cost of being wrong on direction low while still participating if the move runs.

Keep a simple record of band-width percentile at entry, volume multiple on the breakout candle, and what happened next — over enough trades this tells you far more about how squeezes actually resolve in the specific instruments you trade than any general rule of thumb can.

Bollinger Squeeze — Cheat Sheet

SETUP

Band width in bottom decile of recent range

TRIGGER

Decisive close outside either band

CONFIRM

Volume above recent average on the break

DIRECTION

Unknown — lean on trend/S-R, don't guess

STOP

Back inside the pre-breakout range

TARGET

Width of the squeeze/range, projected from break

SIZING

Smaller initially — direction is genuinely uncertain

WATCH OUT

Squeezes can persist far longer than feels reasonable